**10. Income Taxes**

The Company maintains a fiscal year ending June 30 for financial reporting purposes and a calendar year for income tax reporting purposes. The provision for income taxes for the fiscal years ended June 30, 2004, 2003 and 2002, consisted of the following (in thousands):

| | 2004 | 2003 | 2002 |
|---|---|---|---|
| Current | | | |
| Federal | $ 1,371 | $ (245) | $ (4,051) |
| State and local | 150 | 167 | 381 |
| | 1,521 | (78) | (3,670) |
| Deferred | (4,342) | 2,510 | 2,483 |
| Net provision (benefit) | $ (2,821) | $ 2,432 | $ (1,187) |

The Company recorded prepaid taxes totaling approximately $251,000 and $669,000 as of June 30, 2004 and 2003, respectively. Included in these assets are tax refund receivables resulting from filed state returns totaling approximately $109,000 and $476,000 at June 30, 2004 and 2003, respectively. Also included are tax effected operating loss carrybacks totaling approximately $142,000 and $193,000 at June 30, 2004 and 2003, respectively, which the Company will realize or has realized primarily against state tax liability payments made in prior tax years. The Company also received net tax refunds of approximately $398,000 and $6,473,000, during fiscal years 2004 and 2003, primarily related to its state and federal tax carrybacks, respectively.

At June 30, 2004, federal income tax operating loss carryforwards (“NOL’s”) were available to the Company in the amount of approximately $23.2 million, which expire from 2008 to 2023. Utilization of certain of these net operating loss carryforwards totaling $3.4 million is limited to approximately $960,000 per year, pursuant to Section 382 of the Internal Revenue Code (“Code”) relating to a prior ownership change.

The Company’s effective tax rate on its income before taxes differs from the statutory federal income tax rate as follows for the fiscal years ended June 30:

| | 2004 | 2003 | 2002 |
|---|---|---|---|
| Federal statutory rate | 34.0% | 35.0% | 34.0% |
| State and local income taxes (net of federal tax benefits) | 5.3 | 5.2 | 5.2 |
| Meals and entertainment | 2.9 | (2.2) | (2.2) |
| Change in valuation allowance | (26.4) | (53.8) | (31.3) |
| Utilization of net operating loss carryforwards | (11.8) | — | — |
| Insurance claim payment | (15.6) | — | — |
| Severance and office closure payments | (8.6) | — | — |
| Goodwill amortization and other | (4.6) | 2.6 | 1.4 |
| Non-deductible executive compensation | — | (3.8) | — |
| Effective income tax rate | (24.8)% | (17.0)% | 7.1% |

**10. Income Taxes—(Continued)**

The Company recorded a decrease of approximately $7.9 million and an increase of approximately $7.7 million in the valuation allowance it carries against its deferred tax assets during fiscal 2004 and 2003, respectively. The current year decrease related to the realization of temporary differences which had previously been fully reserved, as well as the likelihood the Company would realize a portion of the deferred assets in future periods.

Deferred income tax liabilities or assets are determined based on the differences between the financial statement and tax basis of assets and liabilities. The components of the Company's deferred tax assets and liabilities are as follows as of June 30, 2004 and 2003 (in thousands):

| | 2004 | 2003 |
|---|---|---|
| Deferred tax assets: | | |
| NOL and credit carryforwards | $ 10,135 | $ 11,764 |
| Insurance reserves | 2,376 | 3,788 |
| Commission and fee reserves | 777 | 745 |
| Office closure reserves | 1,072 | 1,232 |
| Claims and settlements | 331 | 697 |
| Other | 1,207 | 2,105 |
| Deferred tax assets | 15,898 | 20,331 |
| Less valuation allowance | (9,599) | (17,452) |
| | 6,299 | 2,879 |
| Deferred tax liabilities | (3,299) | (2,879) |
| Net deferred tax assets | $ 3,000 | $ — |
| Current | $ 3,000 | $ — |
| Long Term | $ — | $ — |